TIGHTENING THE BELT
CM Pinarayi and speaker A.N. Shamseer arrive for the budget session

3.9 per cent it used to get in the 1980s. In much-publicised debates, Kerala has also been complaining of a shortfall in revenue deficit grants from the Centre.

Kerala's fiscal table is of a peculiar nature. Balagopal has projected revenue receipts of Rs 1.35 lakh crore—72 per cent of that to be raised internally by the state—and expenditure of Rs 1.76 lakh crore for the year. How's the consequent pressure to generate revenues to be met? A lot of that is structured by Kerala's inherent nature as a consumer state with limited presence in manufacturing—the sector's share in the state economy hovers around a low 10-12 per cent. So state revenues depend on two major cash cows—liquor sales and lottery—besides GST. The state has lost Rs 5,700 crore due to the cessation of GST compensation from June 2022. It's also in the negative by Rs 5,000 crore due to restrictions on borrowing—another narrowing window, the Centre has mandated that in FY24 it cannot exceed 3.5 per cent of the GSDP limit. Critics say this crisis is partly of its own making, given the debt burden accrued by two pet 'off-budget special vehicles'—Kerala Infrastructure Investment Fund Board (KIIFB) and Kerala Social Security Pension Limited (KSSPL)—over the past 5-6 years.

Furthermore, the state will have a shortfall of around Rs 11,000 crore annually after the switchover to the new GST format. A similar situation prevails in centrally sponsored schemes (CSS). Kerala, being a 'socially advanced state', receives only one per cent of the funds earmarked for CSS. With central MNREGA funds also being marked down by one-third this year, it will be in further trouble.

Kerala's problems are compounded by its committed expenditure on salaries (30 per cent), pensions (21 per cent) and interest payments (19 per cent), which together eat up 70 per cent of total revenue receipts. The state also provides social security pension of Rs 1,600 a month to 5.22 million people with annual incomes below Rs 1 lakh. "We can't cut down expenditure on welfare and the Centre's antipathy towards Kerala is hindering us further," says Balagopal. "The new taxes are to ensure that infrastructure development and welfare measures are not affected. The misinformation campaign by the Congress and BJP is being done with a political agenda."

Pinarayi, too, views the new taxes as part of a balancing act. "The opposition and a section of the media are trying to pin the blame on the Left Front government's financial mismanagement. This is just politically motivated propaganda. In fact, we have reduced the state's public debt by 2.5 per cent in the past four years even with the drop in internal revenues during the pandemic and the floods in the years before that," he says. He also announced a '100-day mission' with 1,284 projects and an outlay of Rs 15,896 crore, which will reportedly create 433,644 new job opportunities in the state.

Opposition leader V.D. Satheesan of the Congress is least impressed by all this, blasting the Left government for introducing a new burden on people already hit hard by inflation and the pandemic.

The Rs 2 per litre fuel surcharge will generate an additional revenue of Rs 750 crore to the Social Security Seed Fund but also make Kerala one of the costliest in fuel prices. Indeed, in neighbouring Karnataka and Tamil Nadu, a litre of petrol now costs Rs 4 less on average. A tax on houses lying vacant has also irked the people. "Public opinion is with us...it's our duty to force the government to take corrective steps when they introduce anti-people policies. How can they justify the new taxes after failing to collect Rs 21,798 crore in revenue arrears?" asks Satheesan.

His reference is to the Combined Compliance Audit Report of the Comptroller and Auditor General of India (CAG) for 2019-21, released on February 10, which revealed a revenue shortfall of Rs 21,798 crore in Kerala. Of this, Rs 7,100 crore has been outstanding for over five years. The report came down heavily on the state for not taking the initiative in clearing the revenue arrears. Taxes on sales, trade of goods (Rs 13,830 crore), taxes and duties on electricity (Rs 2,929 crore), and vehicle taxes (Rs 2,617 crore) accounted for the maximum deficits.

A section of the population is also livid at the rising prices of alcohol. Kerala charges a prohibitive 251 per cent sales tax on alcohol, and the third increase in 2022 saw a new cess of Rs 20 per bottle of Indian-Made Foreign Liquor (IMFL) with MRP below Rs 999 and Rs 40 for a bottle costing above it being introduced. The budget says this will net an additional Rs 400 crore, but tipplers are not amused. "Every budget, the taxes on liquor go up in Kerala. Unfortunately, this squeezes the poor the most, for they end up paying a lot of money for some very low quality brands," says popular actor-director Murali Gopy. All this anger could have upset the equilibrium for CM Pinarayi, except that he's only in the second year of his second term—or the state may not have bet on a third term even if it had spare money. ■

–Jeemon Jacob

A TIGHT SHIP

- Liquor prices hiked again, so is land registration charges. Social security cess of Rs 2 per litre on petroleum products. Budget condemned by Opposition as 'anti-people'
- Revenue eaten up by salaries, pension, interest payment, social security pension
- '100 day mission' with 1,284 projects, outlay of Rs 15,896 crore announced, may create 433,644 new jobs